

1. RECOMMENDATION

Recommend for Approval. KMCH presents a strong credit profile with consistent revenue growth, stable profitability, debt service coverage, and a comfortable leverage position. The proposed loan of ₹3,000 Lakhs represents a modest incremental debt obligation relative to the company's operating cash flows and existing balance sheet.

2. BORROWER OVERVIEW

Kovai Medical Centre and Hospital Ltd. is a Coimbatore-based multi-specialty hospital group with over three decades of operating history. The company operates a network comprising its flagship 854-bed NABH-accredited hospital on Avanashi Road and four satellite centres across Coimbatore (Ramnagar, Sulur, Kovilpalayam) and Erode, aggregating approximately 1,787 operating beds as of FY2024. A medical college (KMCH Institute of Health Sciences & Research, 750 seats) was commissioned in phases from 2019 to 2021, diversifying revenues into the education segment, which now contributes approximately 7-10% of total income. The company is listed on BSE (523323) and NSE (KOVAI) and is promoted by Dr. Nalla G. Palaniswami and Dr.Thavamani Devi Palaniswami, both with over four decades of medical and management experience.

External credit rating: CARE A+ / Stable; CARE A1+ (reaffirmed February 2025, subsequently withdrawn at KMCH's request on retirement of rated facilities).

3. PURPOSE OF LOAN

The proposed facility finances the acquisition of a Siemens Healthineers ARTIS icono Biplane Neurovascular Cathlab , an imaging system used for diagnostic and interventional neurovascular procedures. The asset will be housed at the Kovai Medical Centre flagship hospital in Coimbatore. This investment is consistent with KMCH's established strategy of investing in high-acuity, technology-intensive procedures, and directly supports its neurology segment, which is one of its two primary revenue contributors. The asset strengthens KMCH's capability in a segment where it already has significant referral volume and clinical expertise.

Here is the loan structure organized into a clean and clear table:

Loan Structure Overview

Parameter	Details
Loan Amount	₹3,000 Lakhs

Interest Rate	\$10.2% per annum
Tenure	72 months (6 years)
EMI	₹55.96 Lakhs per month
Total Interest Outflow	₹1,028.87 Lakhs
Processing Fee	₹90.00 Lakhs(3%)
Total Cost of Finance	₹4,118.87 Lakhs
Security	Hypothecation of cathlab equipment
Repayment Mode	Monthly EMI

5. FINANCIAL PERFORMANCE

Income Statement Summary

KMCH has delivered consistent double-digit revenue growth across all three years, driven by volume expansion (occupancy improved from 55% to 61% in FY2024), and growing contributions from the medical college. EBITDA margins have remained stable in the 29% range, consistent with the ~28-29% range cited by CARE Ratings and industry analyst estimates. PAT margins have gradually improved from 14.5% to 15.1%, reflecting operating leverage and a declining finance cost burden as a proportion of revenue.

Balance Sheet Summary

Total assets grew 44% over three years, driven primarily by expansion capex (property, plant and equipment increased from ₹1,08,791 Lakhs to ₹1,44,111 Lakhs). The CWIP

balance spiked materially in FY2025 (₹14,957 Lakhs vs. ₹3,863 Lakhs in FY2024), reflecting the new OPD block and associated infrastructure investments. This moderated to ₹13,496 Lakhs in FY2026, suggesting the peak capex cycle has passed.

Equity has grown steadily through retained earnings, with the share capital remaining unchanged at ₹1,094 Lakhs throughout.

Cash Flow Summary

Operating cash flows are strong and growing, with CFO increasing from ₹34,413 Lakhs to ₹36,183 Lakhs over the period. The FY2025 investing outflow of ₹35,214 Lakhs was Very high due to the peak expansion cycle; this went down to ₹23,018 Lakhs in FY2026.

Ratio Analysis

Liquidity is adequate on a reported basis, with current ratios above 1.0x across all years. On an adjusted basis (stripping restricted escrow balances, advance student fees, and aged receivables), the FY2025 current ratio compresses to 0.96x driven by timing of restricted cash items rather than liquidity stress. Reported D/E remained below 0.40x throughout and has improved to 0.31x in FY2026 as debt was partially repaid. On an adjusted basis (adding lease liabilities and creditors for capital goods to debt), leverage rises to 0.45x at its highest, still within comfortable range. Coverage is strong. ICR expanded from 8.21x to 11.17x over the three-year period, reflecting growing EBIT against declining finance costs. DSCR which was calculated on the asset being lent is 8.24x in FY2025 is well in excess of any standard covenant threshold. The annual EMI obligation under the proposed facility (₹55.96 Lakhs × 12 = ₹671.5 Lakhs) represents approximately 1.9% of FY2026 CFO and is immaterial relative to operating cash generation. Working capital is tightening at the margins. DSO has risen from 5 to 8.8 days and DPO has compressed from 29.7 to 19.9 days, meaning KMCH is collecting more slowly and paying suppliers faster.

8. KEY RISKS

Asset litigation (Moderate). Two material asset blocks totalling approximately ₹18,000 Lakhs are subject to ongoing legal proceedings, one at the High Court (stamp duty dispute) and one at the NCLT (auction title transfer). These assets have been written to zero in the normalized analysis. Resolution timelines are uncertain. While this does not affect cash flows or repayment capacity in the near term, it creates uncertainty around the net realizable value of the asset base in a distress scenario.

Geographic concentration (Moderate). Approximately 70-75% of revenues are generated from the flagship Coimbatore hospital. The satellite centre network and medical college partially mitigate this, but concentration remains a structural feature of the business.

Capex execution risk (Low-Moderate). The new OPD block and associated CWIP remain partially under construction. Delays or cost overruns would extend the period before these assets generate incremental revenue. The FY2025 capex spike (₹35,214 Lakhs in investing outflows) appears to have peaked, but monitoring is warranted.

Key person risk (Low-Moderate). KMCH's operational and clinical quality is strongly associated with its founding promoters and a core team of long-tenure specialists. Doctor attrition has been an industry-wide issue post-COVID. Any significant departure of senior clinicians could affect referral patterns or specialty revenue.

10. CONCLUSION

KMCH is a well-run, financially conservative hospital group with strong and growing operating cash flows, low leverage, and comfortable debt service coverage at both reported and normalized levels. The proposed ₹3,000 Lakh facility is modest relative to the company's balance sheet and cash generation, and is directed toward a strategically aligned, revenue-generating asset. Risks are identifiable, manageable, and do not threaten near-term repayment capacity.